

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: needs work

Top improvement

When asked for a recommendation, commit to an answer-first call using the data you have. You had already shown flat prices versus ~40% input inflation on 15% volume growth, so say 'raise prices selectively and lock in supply costs across all inputs.' Back it with 2–3 reasons, name the elasticity risk, and propose a pilot as the next step, rather than waiting for more data.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate opened with an explicit profit = revenue – cost tree and a hypothesis that the problem was cost-driven.

“Since revenue is actually growing but margin is collapsing, this looks cost-driven, but I want to confirm both sides before I commit.”

“I’d structure it as profit = revenue minus cost.”

Sub-points were tailored to a chain business, such as the same-store vs. new-store split, which mattered here.

“A chain that’s opened a lot of locations can grow 15% on the top line while per-store economics worsen.”

When asked to prioritize, the candidate chose the cost side and gave a clear rationale.

“So I’d prioritize the cost side first, specifically cost as a percent of revenue by line item across the two years.”

What needs work

The client objective (find the root cause and recommend a reversal) was never restated, and the structure was not tied to the decision the CEO must make.

“Let me take a second to lay this out.”

Pricing and competitive context were not called out as distinct branches; price was folded into 'average ticket' with no question about whether peers face the same squeeze.

“On revenue: I’d break it into number of transactions times average ticket, and split that by same-store versus new-store growth.”

Missed opportunities

Opening framework in turn 1, before diving into the revenue and cost branches.

A great answer: “Our goal is to find why margin fell from 24% to 6% on growing revenue, and decide how to restore it. I’ll look at three things: revenue quality (volume, price, mix), cost lines as a percent of revenue (COGS, labor, overhead), and external context (are competitors seeing the same squeeze, and do we have pricing power?). My hypothesis is that input costs rose without being passed through in price, so I’d start with COGS and menu pricing.”

Quantitative & Analytical Rigor

strong

What went well

The candidate tied out both years’ cost structure, then sized the margin gap correctly in dollars at current revenue (\$384K per store, ~\$77M total).

“Let me check that it ties out. Today: $58 + 22 + 14 = 94\%$, leaving 6% margin. Two years ago: $42 + 22 + 12 = 76\%$, leaving 24%. So both years reconcile.”

“In dollar terms, at \$2.4M per store, 16 points is about \$384K per store per year, and across 200 stores that’s roughly \$77M annually. That’s the prize.”

The candidate set up a clear algebraic decomposition in units of R and narrated each step accurately in the per-unit version (bean spend +61%, per-unit +40%), but the first pass treated 37.5% as a total-spend increase without flagging the ambiguity, and the per-unit reading came only after the interviewer prompted it.

“Call old revenue per store R. Old COGS = $0.42R$, so beans = $0.105R$ and everything else = $0.315R$.”

“Then beans = $0.667 \cdot 0.498 = 0.169R$, versus $0.105R$ before. Spend up about 61%, and dividing out 15% volume growth gives per-unit bean cost up roughly 40%.”

“If non-bean inputs are up 37.5% in total spend, that’s $0.315 \times 1.375 = 0.433R$.”

The candidate sanity-checked the derived bean inflation against the actual figure and drew the implication for where to intervene.

“That confirms the per-unit reading — my derived 40% matches the actual 40% exactly, which means the model holds and volume growth of 15% is fully accounted for.”

What needs work

After correcting, the candidate briefly contradicted the new result by calling beans the 'single biggest mover.' Non-bean spend rose ~0.183R vs. ~0.064R for beans.

"beans still inflate faster than anything else and they're the single biggest mover"

Missed opportunities

Turn 7, before applying the 37.5% figure to non-bean inputs.

A great answer: "Before I use the 37.5%, I should check whether it's a per-unit price change or a total-spend change. Given that volume is up 15%, I'll assume per-unit, so non-bean spend scales by 1.375×1.15 ."

Data & Exhibit Interpretation

strong

What went well

The candidate isolated COGS as driving 16 of the 18 points, noted that overhead contributed the other 2, and dismissed labor.

"Of the 18-point decline, COGS explains 16 points and overhead 2. So this is almost entirely a COGS story — labor is a non-issue."

The candidate eventually tested beans against other inputs and concluded that non-bean inputs were the larger contributor, avoiding the trap of stopping at beans, but first declared beans the driver before verifying the interpretation of the input-cost data.

"Under this reading non-bean inputs actually account for more of the COGS increase than beans do, since 0.498 versus 0.315 is a bigger absolute swing."

"So beans are the driver — and with prices flat for two years, none of it was passed through."

The candidate translated the data into a crisp so-what and asked for the right next data.

"Essentially, Brew & Bean has absorbed two years of commodity inflation entirely on its own balance sheet without touching price."

"Two things I'd want: a split of COGS into its components — beans, dairy, cups, food — and whether menu prices changed over the two years."

Business Judgment & Insight

adequate

What went well

The candidate framed the \$77M correctly as a margin gap at today's revenue and as a theoretical ceiling rather than a target.

"Fair challenge on the \$77M — it's the gap at today's revenue, so it's not inflated by growth; it's what we'd recover if COGS returned to 42% at current volume. But it's a theoretical ceiling, not a target."

What needs work

The candidate failed to recognize that the available data was sufficient to act. More data was demanded even though the driver and levers were already identified.

"I don't know, I'd need more data."

"I can't commit without a more detailed breakdown of the biggest cost line."

The candidate drew the commercially sound inference that a flat footprint plus 15% growth rules out a demand problem and supports pricing headroom, but did not discuss the risks of acting on it, such as price elasticity, competitor response, or the feasibility of bean hedging.

"Could be across-the-board or targeted at the least price-sensitive items."

"Volume is up 15%, so there's no demand problem at all — customers are still coming."

Missed opportunities

Turn 14: the interviewer asked which lever to pull first and what to know about customers.

A great answer: "Pricing first. Inputs are up ~38% while menu prices are flat, and volume growth suggests headroom. Before acting, I'd want price elasticity by SKU and daypart, plus where competitors price, so we can raise specialty drinks more and protect traffic items. The key risk is traffic loss, which I'd mitigate by piloting in a subset of stores."

Creativity & Brainstorming

adequate

What went well

The candidate organized the brainstorm into clear buckets: price, procurement, product, waste/yield, and overhead.

"On procurement: renegotiate or lock in longer-term bean contracts, hedge forward, consolidate suppliers for volume discounts, or diversify origin to cheaper growing regions."

The brainstorm included non-obvious ideas such as yield/dosing control and shifting mix toward lower-bean-intensity drinks.

"On waste and yield: check dosing consistency, spoilage on dairy, and shrink. If per-unit bean cost is up 40%, every gram wasted costs more than it used to."

"shift mix toward lower-bean-intensity drinks, resize portions, or push higher-margin food and non-coffee items"

What needs work

The ideas were not prioritized. When asked directly which lever to pull first, the candidate could not choose, despite having just called pricing the most direct lever.

“I don't know, I'd need more data.”

Procurement ideas focused on beans, even though the candidate's own analysis showed non-bean inputs were the larger contributor.

“renegotiate or lock in longer-term bean contracts, hedge forward”

Missed opportunities

Turn 15: asked to rank the levers.

A great answer: “Ranked by impact and speed: 1) targeted price increases on specialty drinks, which is the fastest and largest lever; 2) procurement across dairy and packaging as well as beans, since non-bean inputs drove most of the increase; 3) menu mix and yield, which is slower but durable.”

Synthesis & Recommendation

needs work

What went well

Mid-case, the candidate produced a sharp mini-synthesis of the root cause.

“Essentially, Brew & Bean has absorbed two years of commodity inflation entirely on its own balance sheet without touching price. The margin compression is almost a pure pass-through failure.”

What needs work

The candidate refused to give a recommendation three times, even after the interviewer explicitly asked for a decision with current information.

“I can't commit without a more detailed breakdown of the biggest cost line.”

“Hmm, I'm not sure. I'd still want that COGS breakdown first.”

The final answer contained no supporting reasons, risks, or next steps.

“I don't know, I'd need more data.”

Missed opportunities

Turn 18: 'The CEO needs a decision with the information we have today... what would you tell the CEO to do, and in what order?'

A great answer: “My recommendation is to raise prices and fix procurement. First, input costs are up ~38–40% while menu prices have been flat for two years, which explains essentially all 16 points of COGS compression. Second, volume grew 15%, so demand can absorb a targeted 8–10% increase on less price-sensitive specialty items. Third, lock in supply contracts across dairy, packaging, and beans, since non-bean inputs drove most of the increase. The key risk is traffic loss, so I'd pilot prices in a subset of stores. Next steps: run an elasticity test, benchmark competitor pricing, and get the dairy/packaging/food split.”

Communication & Delivery

adequate

What went well

The candidate listened to and built on interviewer cues, for example the flat store count.

“That's useful — flat footprint means the 15% is same-store, so volume or ticket is genuinely up. That makes a demand problem unlikely.”

What needs work

Through turn 13 the candidate was top-down, hypothesis-led, and stated structure before detail, but in the final turns slipped into hedging non-answers with filler, the opposite of answer-first delivery.

“Hmm, I'm not sure. I'd still want that COGS breakdown first.”

“I don't know, I'd need more data.”

“Since revenue is actually growing but margin is collapsing, this looks cost-driven, but I want to confirm both sides before I commit.”

“I'd structure it as profit = revenue minus cost.”

Missed opportunities

Turn 15, when uncertain about customer data.

A great answer: “My answer is pricing first, with one caveat: I'd want elasticity data to confirm how far we can push it. Here's why...”

Pushback, Composure & Case Leadership

needs work

What went well

The candidate held correctly on the \$77M challenge with explicit reasoning, without capitulating.

"Fair challenge on the \$77M — it's the gap at today's revenue, so it's not inflated by growth; it's what we'd recover if COGS returned to 42% at current volume."

The candidate updated cleanly on the spend vs. per-unit challenge and stated what changed and what held.

"So the direction doesn't change — beans still inflate faster than anything else and they're the single biggest mover — but the magnitude is meaningfully smaller, 40% rather than 90%."

What needs work

The candidate became passive at the decisive moment and ignored the interviewer's explicit hint that the driver and levers were already in hand.

"Hmm, I'm not sure. I'd still want that COGS breakdown first."

The candidate held rigidly to a data request the interviewer had already said was unavailable, instead of reasoning with what was known.

"I can't commit without a more detailed breakdown of the biggest cost line."

Missed opportunities

Turn 18: the interviewer hinted 'You've isolated the driver and listed the levers.'

A great answer: "You're right, we have enough to act. The COGS split would refine procurement priorities, but it doesn't change the first move, which is a targeted price increase, followed by supply contracts across all inputs."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Candidate · 1:30

Let me take a second to lay this out.

Since revenue is actually growing but margin is collapsing, this looks cost-driven, but I want to confirm both sides before I commit.

I'd structure it as $\text{profit} = \text{revenue} - \text{cost}$.

On revenue: I'd break it into number of transactions times average ticket, and split that by same-store versus new-store growth. A chain that's opened a lot of locations can grow 15% on the top line while per-store economics worsen.

On cost: I'd split fixed versus variable. Variable would be COGS — coffee beans, milk, cups — plus hourly labor. Fixed would be rent, salaried store management, corporate overhead, and any depreciation from new builds.

Then I'd compare the two years as a percent of revenue to see which line moved.

To start — do we know whether the 15% revenue growth is same-store or from new locations?

Interviewer · 1:34

200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Your framework has several branches. Hold that request; I'll come back to it shortly. Which one do you prioritize first, and why?

Candidate · 3:05

That's useful — flat footprint means the 15% is same-store, so volume or ticket is genuinely up. That makes a demand problem unlikely.

So I'd prioritize the cost side first, specifically cost as a percent of revenue by line item across the two years.

My reasoning: margin fell 18 points on growing revenue. If revenue is up 15% and we're still losing that much margin, costs have to be growing meaningfully faster than revenue. Revenue investigation would tell me how we grew, but it won't explain the decline.

Within cost, I'd look at variable costs first — COGS and hourly labor — because those scale with volume, and volume is up. But I'd want to see whether they rose more than proportionally, which would point to input price inflation or wage pressure rather than just more cups sold.

Do we have a cost breakdown as a percent of revenue for both years?

Interviewer · 3:08

COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Average revenue per store is \$2.4M a year.

Candidate · 4:39

Let me check that it ties out. Today: $58 + 22 + 14 = 94\%$, leaving 6% margin. Two years ago: $42 + 22 + 12 = 76\%$, leaving 24%. So both years reconcile.

Of the 18-point decline, COGS explains 16 points and overhead 2. So this is almost entirely a COGS story — labor is a non-issue.

In dollar terms, at \$2.4M per store, 16 points is about \$384K per store per year, and across 200 stores that's roughly \$77M annually. That's the prize.

Now, COGS rising as a percent of revenue means either input costs per unit went up, or we're selling a less profitable mix, or we didn't pass costs through in price.

Two things I'd want: a split of COGS into its components — beans, dairy, cups, food — and whether menu prices changed over the two years.

Interviewer · 4:42

Before I do, your \$77M figure: is that the margin problem, or does it include normal growth? Coffee beans were 25% of COGS two years ago. Menu prices have not changed in two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 6:13

Fair challenge on the \$77M — it's the gap at today's revenue, so it's not inflated by growth; it's what we'd recover if COGS returned to 42% at current volume. But it's a theoretical ceiling, not a target.

Now let me decompose. Call old revenue per store R . Old COGS = $0.42R$, so beans = $0.105R$ and everything else = $0.315R$.

New revenue = $1.15R$, and new COGS = $0.58 \times 1.15R = 0.667R$.

If non-bean inputs are up 37.5% in total spend, that's $0.315 \times 1.375 = 0.433R$. Subtracting, beans = $0.667 - 0.433 = 0.234R$, versus $0.105R$ before. That's more than a doubling in bean spend, and volume only grew 15%, so per-unit bean cost is up roughly 90%.

So beans are the driver — and with prices flat for two years, none of it was passed through.

Interviewer · 6:15

Your derivation holds together. You treated the 37.5% as a rise in total non-bean spend, and then divided out volume for beans. Is the 37.5% a per-unit price increase or a spend increase, and does that change your bean number?

Candidate · 7:46

Good catch — I assumed spend, but it's more naturally read as a price increase per unit.

If it's per-unit, non-bean spend scales by both price and volume: $0.315R \times 1.375 \times 1.15 = 0.498R$.

Then beans = $0.667 - 0.498 = 0.169R$, versus $0.105R$ before. Spend up about 61%, and dividing out 15% volume growth gives per-unit bean cost up roughly 40%.

So the direction doesn't change — beans still inflate faster than anything else and they're the single biggest mover — but the magnitude is meaningfully smaller, 40% rather than 90%. Under this reading non-bean inputs actually account for more of the COGS increase than beans do, since 0.498 versus 0.315 is a bigger absolute swing.

That matters for where we intervene. Do we have the actual bean contract terms, or the split of that non-bean bucket into dairy versus packaging versus food?

Interviewer · 7:48

Understood. I don't have the contract terms or a split of that non-bean bucket. I can give you the actual bean price change, though. Raw coffee bean costs are up 40% over the past two years.

Candidate · 9:18

That confirms the per-unit reading — my derived 40% matches the actual 40% exactly, which means the model holds and volume growth of 15% is fully accounted for.

So the picture is: input prices across the board are up, beans 40% and non-bean inputs 37.5%, while menu prices have been completely flat for two years. Labor held steady, overhead moved 2 points. Volume is up 15%, so there's no demand problem at all — customers are still coming.

Essentially, Brew & Bean has absorbed two years of commodity inflation entirely on its own balance sheet without touching price. The margin compression is almost a pure pass-through failure.

One thing I'd still want is the breakdown of that non-bean bucket, since in the per-unit reading it's actually the larger absolute contributor to the COGS increase.

Interviewer · 9:20

Understood. Beyond what we've discussed, what else could the client do to reverse the decline? Give me a structured set of ideas.

Candidate · 10:51

A few buckets.

On price: raise menu prices, since volume is up 15% and we have no evidence of demand weakness. Could be across-the-board or targeted at the least price-sensitive items.

On procurement: renegotiate or lock in longer-term bean contracts, hedge forward, consolidate suppliers for volume discounts, or diversify origin to cheaper growing regions.

On product: reformulate or re-engineer the menu — shift mix toward lower-bean-intensity drinks, resize portions, or push higher-margin food and non-coffee items.

On waste and yield: check dosing consistency, spoilage on dairy, and shrink. If per-unit bean cost is up 40%, every gram wasted costs more than it used to.

On overhead: it moved 2 points, which is small but worth understanding.

I'd note the pricing lever is the most direct, since the gap is literally that prices haven't moved while inputs have.

Interviewer · 10:53

Okay. Which of those levers would you pull first, and what would you want to know about customers before you did?

Candidate · 11:17

I don't know, I'd need more data.

Interviewer · 11:20

Understood. Given what you've seen in this case, what is your recommendation to the CEO?

Candidate · 11:37

I can't commit without a more detailed breakdown of the biggest cost line.

Interviewer · 11:41

The CEO needs a decision with the information we have today. You've isolated the driver and listed the levers, so what would you tell the CEO to do, and in what order?

Candidate · 12:06

Hmm, I'm not sure. I'd still want that COGS breakdown first.

Interviewer · 12:08

We'll stop there. Thanks for working through the case — your written report will follow.